

Robinhood Markets, Inc.

HOOD NASDAQ

Hold **\$91.37 ▲ 1.14%** **12M Price Target \$95.00** **52-Week Range \$63.52 – \$153.86**

Market Cap \$82.15B

HOOD: Retail Private Equity Push Meets Regulatory Uncertainty

WHAT HAPPENED

- HOOD launched its second venture fund (up to \$200M) aimed at giving regular retail investors access to pre-IPO private companies — this is a big deal because private markets have historically been a walled garden for the ultra-wealthy. Stock is up 1.1% after snapping a 4-day losing streak.
- Options flow is weirdly mixed — put/call ratio of 0.28 looks bullish on the surface (way more calls than puts), but there's unusual put buying at the \$93 strike expiring this month, meaning some big money is hedging or betting on a near-term pullback.

WHY IT MATTERS

The venture fund launch is more strategic than the small dollar amount (\$200M) suggests — Robinhood is positioning itself as the retail on-ramp to private markets, which is exactly what the SEC under the current administration has been signaling openness to. If they successfully democratize access to pre-IPO shares, that's a massive new revenue stream and stickier customer relationships (people don't yank money out of illiquid investments). But here's the tension: the stock is at just 31% of its 52-week range with a \$153 high still fresh in memory — meaning the market already got euphoric about HOOD's expansion story and then got cold feet. The unusual put buying tells me institutions think the next earnings print or macro wobble could shake weak hands.

POLICY & POLITICAL WATCH

The biggest tailwind right now is the SEC's evolving stance on retail access to private markets — the current administration has been pushing to loosen accredited investor rules, which would let HOOD's new venture fund reach a much bigger audience. On the crypto side, the CLARITY Act and stablecoin legislation (GENIUS Act framework) that passed in 2025 turned crypto from a regulatory landmine into a growth engine for HOOD — this is now roughly 30-40% of their transaction revenue. Watch for any pushback from Senate Democrats on private market democratization; if they frame it as "exposing retail to risky illiquid bets," it could stall HOOD's biggest growth narrative.

IS IT EXPENSIVE?

At \$82B market cap on ~\$4.2B expected revenue, investors are paying about \$20 for every \$1 of revenue — that's rich for a broker (Schwab trades at ~5x, IBKR at ~10x) but HOOD is being valued more like a fintech growth story than a brokerage. Forward P/E around 49x means you're paying \$49 today for every \$1 the company will earn next year — that only makes sense if crypto revenue keeps compounding AND the private markets push actually converts. The valuation is not cheap; it's a bet that HOOD becomes something bigger than a broker.

Key Data

Price (USD)	\$91.37
12M Price Target	\$95.00
Upside / (Downside)	+4.0%
Market Cap	\$82.15B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	49.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



HOOD — Robinhood Markets, Inc. | August 04, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$100.00	\$92.00	\$82.00
6 Months	\$115.00	\$95.00	\$75.00
1 Year	\$140.00	\$100.00	\$65.00
2 Years	\$180.00	\$120.00	\$55.00
5 Years	\$280.00	\$170.00	\$45.00
10 Years	\$450.00	\$250.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+3.6% today, +7.8% this week) — AI capex cycle plus expectations of a more accommodative Fed. Financials modestly green as deregulation optimism continues under the current administration.

COOLING OFF: Consumer Discretionary and Communications slightly red — signs the consumer is getting picky as tariff-driven price hikes bite.

ROTATION WATCH: Money is flowing into growth tech and away from defensive names — that's a friendly backdrop for HOOD since it trades more like a tech growth stock than a traditional broker.

RELATED PLAY: If HOOD's private markets thesis works, the plumbing beneficiaries are alternative asset managers (BX, KKR) and pre-IPO liquidity platforms — they win regardless of which retail broker cracks the code.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto-friendly regulatory wave, direct beneficiary of stablecoin rules.
- SCHW (Charles Schwab): Boring but benefiting from the same retail engagement cycle without the crypto volatility.

HOOD CONTEXT: HOOD is lagging its own 52-week high badly (down ~40% from \$153) while the broader market is near highs — that tells me expectations got way ahead of reality earlier this year, and the stock is now in "prove it" mode. Underperforming COIN this year suggests investors want pure crypto exposure without the brokerage baggage.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the strategic direction (private markets + crypto rails) but the valuation demands flawless execution, and the options market is flashing caution near-term.

POSITION SIZE: 2-4% of portfolio — enough to matter if the thesis works, small enough that a crypto crash doesn't wreck you.

ENTRY POINTS: I'd rather buy the \$80-85 zone on a macro fear day than chase here at \$91. If it breaks \$100 with volume on real news, that's a different conversation.

TIME HORIZON: 12-24 months — you're waiting for the private markets product to show real revenue traction, probably 2-3 earnings cycles away.

WHEN TO BAIL: If crypto revenue drops more than 30% quarter-over-quarter, or if the SEC signals they're clamping down on retail access to private markets, the whole story breaks.

HEDGING: Simplest hedge is trimming into strength above \$110 rather than trying to trade options. If you want protection, buying a put spread 10-15% out of the money for 3-6 months costs you a little but caps downside if crypto rolls over.